

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, overcast blue.

Accelerating Tesco Clubcard: Strategic Value for Sustainable Growth

STRATEGIC BRIEF

GROUP STRATEGY

Why This Matters Now

23M

CLUBCARD HOUSEHOLDS

84%

UK PENETRATION

87%

ROI

9,000+

RETAIL MEDIA CAMPAIGNS



OPERATIONAL LOGIC

VALUE PROPOSITION

Strategic Alignment with Tesco's Priorities

- Magnetic Value: Enhance Clubcard Prices to drive £392 annual savings per customer
- Digital Capability: Scale AI-driven personalisation for 18M app users
- Incremental Growth: Expand Reward Partners (e.g., Vauxhall, Virgin Red) to boost engagement
- Data-Driven Loyalty: Leverage 84% penetration for supplier partnerships and retail media

PROVEN IMPACT

Global Case Study: Loyalty-Led Growth

+15%

REVENUE UPLIFT

+30%

BASKET SIZE GROWTH

-20%

CHURN REDUCTION

“

"CEO Testimonial: Strategic Relevance of Loyalty"

LEADERSHIP PERSPECTIVE

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Financial Impact: Incremental Revenue & ROI

£392

ANNUAL SAVINGS PER CUSTOMER

+25% YoY

RETAIL MEDIA REVENUE GROWTH

+4.6% LFL

CLUBCARD-DRIVEN SALES
UPLIFT

£4.6B

SUPPLIER PARTNERSHIP
REVENUE



OPERATIONAL LOGIC

STRATEGIC EVOLUTION

Future-Proofing Clubcard: Strategic Roadmap

- Phase 1: Scale AI personalisation for 100% of Clubcard users (2025)
- Phase 2: Expand retail media to 10K+ campaigns annually (2026)
- Phase 3: Integrate Clubcard with Tesco Marketplace for seamless loyalty (2027)
- Phase 4: Global benchmarking for Central Europe (88% penetration)



OPERATIONAL LOGIC

EXECUTIVE SUMMARY

Board-Level Outcomes

- Customer Loyalty: 28 NPS, #1 UK supermarket (YouGov)
- Financial Growth: 10.9% adjusted operating profit, £1.75B free cash flow
- Market Leadership: Highest UK market share since 2016 (28.3%)
- Sustainability: Clubcard data driving waste reduction and demand forecasting



OPERATIONAL LOGIC

STRATEGIC PARTNERSHIP

Why Partner with Us

- Proven expertise: Global retail loyalty transformations at scale
- Outcome-driven: Focus on measurable growth, ROI, and long-term value
- Alignment: Deep integration with Tesco's purpose, values, and strategic priorities
- Trust: Long-term partnership ethos, not transactional vendor relationships



OPERATIONAL LOGIC

CALL TO ACTION

Next Steps: A Trusted Partnership

- Schedule a strategic workshop with Ken Murphy and the Executive Committee
- Align on Clubcard's 3-year roadmap and KPIs for 2025–2027
- Pilot AI-driven personalisation in Q3 2025 with measurable outcomes
- Commit to a long-term partnership for sustainable growth